3. The President may issue directions for the reduction of salaries and allowances of (a) all or any class of persons serving the Union; and (b) the judges of the Supreme Court and the high court.

Thus, during the operation of a financial emergency, the Centre acquires full control over the states in financial matters. H.N. Kunzru, a member of the Constituent Assembly, stated that the financial emergency provisions pose a serious threat to the financial autonomy of the states. Explaining the reasons for their inclusion in the Constitution, Dr. B.R. Ambedkar observed in the Constituent Assembly[14]:

"This Article more or less follows the pattern of what is called the National Recovery Act of the United States passed in 1933, which gave the president power to make similar provisions in order to remove the difficulties, both economical and financial, that had overtaken the American people, as a result of the Great Depression."

No Financial Emergency has been declared so far, though there was a financial crisis in 1991.

**CRITICISM OF THE EMERGENCY PROVISIONS**

Some members of the Constituent Assembly criticised the incorporation of emergency provisions in the Constitution on the following grounds[15]:

1. 'The federal character of the Constitution will be destroyed and the Union will become all powerful.
2. The powers of the State—both the Union and the units—will entirely be concentrated in the hands of the Union executive.
3. The President will become a dictator.
4. The financial autonomy of the state will be nullified.
5. Fundamental rights will become meaningless and, as a result, the democratic foundations of the Constitution will be destroyed.'

Thus, H.V. Kamath observed: 'I fear that by this single chapter we are seeking to lay the foundation of a totalitarian state, a police state, a state completely opposed to all the ideals and principles that we have held aloft during the last few decades, a State where the rights and liberties of millions of innocent men and women will be in continuous jeopardy, a State where if there be peace, it will be the peace of the grave and the void of the desert. It will be a day of shame and sorrow when the President makes use of these powers having no parallel in any Constitution of the democratic countries of the world'[16].

K.T. Shah described them as: 'A chapter of reaction and retrogression. I find one cannot but notice two distinct currents of thought underlying and influencing throughout the provisions of this chapter: **(a)** to arm the Centre with special powers against the units and **(b)** to arm the government against the people'.

T.T. Krishnamachari feared that 'by means of these provisions the President and the Executive would be exercising a form of constitutional dictatorship'[17].

H.N. Kunzru opined that 'the emergency financial provisions pose a serious threat to the financial autonomy of the States.'